FUTUREPROOF FINANCIAL

Tax Discussion

New Zealand — Equity Preservation Mortgage

March 2025

Stakeholder Tax Treatment & Regulatory Framework

Contents

1. Executive Summary

This document provides a comprehensive discussion of the tax treatment of the Equity Preservation Mortgage (EPM) product across all key stakeholders in **New Zealand**. The EPM is a structured mortgage product that provides homeowners with a guaranteed monthly income stream funded by a combination of mortgage drawdowns and a structured investment portfolio (approximately 70% S&P 500 ETFs, 30% fixed income).

The core tax principle underpinning the EPM is that **mortgage drawdowns are not income**. The homeowner receives monthly payments that are structured as loan proceeds, not assessable income. This is a well-established principle in New Zealand tax law. The investment portfolio is managed separately, with returns flowing through the payments waterfall to service the mortgage and protect homeowner equity.

This report covers the tax position of five stakeholder groups: (1) the Homeowner, (2) the Lender, (3) the Wholesale Funder, (4) the Investment Provider, and (5) the Broker / Referral Partner. For each stakeholder, we discuss the relevant tax treatment, reporting obligations, regulatory requirements, and key considerations.

Key Facts

Jurisdiction	New Zealand
Currency	NZD (NZ$)
Primary Regulator	Reserve Bank of New Zealand (RBNZ)
Conduct Regulator	Financial Markets Authority (FMA)
Tax Authority	Inland Revenue (IRD)
Company Tax Rate	28%
GST	15%

2. Regulatory Framework

The EPM operates within the regulatory framework of New Zealand. Prudential supervision is provided by **Reserve Bank of New Zealand (RBNZ)**, while conduct regulation falls under **Financial Markets Authority (FMA)**. The tax administration is overseen by **Inland Revenue (IRD)**.

Prudential Regulator	Reserve Bank of New Zealand (RBNZ)
Conduct Regulator	Financial Markets Authority (FMA)
Tax Authority	Inland Revenue (IRD)
Financial Services Licensing	Financial Markets Conduct Act 2013 — licensing for financial advice providers. Credit Contracts and Consumer Finance Act 2003 (CCCFA) for lending.

3. Tax Environment Overview

This section provides an overview of the New Zealand tax environment relevant to the EPM product structure and its stakeholders.

Personal Income Tax	10.5% (≤$14,000), 17.5% ($14,001–$48,000), 30% ($48,001–$70,000), 33% ($70,001–$180,000), 39% (>$180,000)
Company Tax	28%
Capital Gains Tax	No general capital gains tax. Bright-line test: residential property sold within 10 years (2 years for new builds) is subject to income tax on gains. Interest limitation rules for residential property.
GST	15%
Withholding Tax	Non-resident withholding tax (NRWT) 15% on interest (10% under some DTAs). Approved Issuer Levy (AIL) 2% alternative to NRWT on interest.
Stamp Duty / Transfer Tax	No stamp duty in New Zealand. No transfer taxes on property purchases.
Mortgage Interest Deductibility	Interest limitation rules: from 1 October 2021, interest on residential investment property is no longer deductible (phased denial). Owner-occupied home mortgage interest is NOT deductible. Business/commercial property interest remains deductible.
Imputation / Franking	Imputation credit system similar to Australia. Company tax paid generates imputation credits attached to dividends. Credits can be used to reduce shareholder tax liability but are NOT refundable (unlike AU).
Reporting Obligations	Annual income tax return (7 July for individuals, various for companies). GST returns (1, 2, or 6 monthly). Transfer pricing documentation required for international related-party transactions.

Structural Tax Provisions

Fund / Trust Regime	Portfolio Investment Entity (PIE) regime: tax at investor's prescribed investor rate (PIR) — max 28%. Multi-rate PIE distributes on a per-investor basis.

Thin Capitalisation	Thin capitalisation: 60% debt-to-assets ratio for inbound investment. Interest deduction denied on excess debt.
Transfer Pricing	Arm's length principle. Country-by-country reporting aligned with OECD BEPS. New Zealand has a DTA network covering major jurisdictions.
Anti-Avoidance	Section BG 1 general anti-avoidance provision. Specific rules for related-party lending, hybrid instruments, and transfer pricing.

Retirement / Pension System Implications

KiwiSaver: EPM annuity income is NOT KiwiSaver. Does not affect KiwiSaver contribution obligations. NZ Superannuation (state pension): mortgage liability is NOT included in asset testing (NZ Super is not asset-tested — it is universal). Accommodation Supplement may be affected.

4. Homeowner Tax Treatment

The homeowner is the primary beneficiary of the EPM structure. They receive guaranteed monthly income while retaining full ownership of their property. The fundamental tax principle is that mortgage drawdowns are NOT assessable income in New Zealand.

- EPM annuity payments are mortgage proceeds — NOT assessable income under s CA 1
- No income tax payable on monthly EPM distributions received
- Property remains in homeowner's name — no disposal event for bright-line purposes
- No bright-line test triggered (no change of ownership)
- No stamp duty or transfer tax (NZ has neither)
- Mortgage interest NOT deductible for owner-occupied residential property
- NZ Superannuation: universal entitlement — EPM does NOT affect eligibility
- Upon death: property passes per will; bright-line period resets for beneficiary

5. Lender Tax Treatment

The lender originates and manages the EPM mortgage. Interest income on the mortgage is the primary revenue stream. The lender must comply with New Zealand financial services licensing requirements and tax reporting obligations.

- Interest income is assessable under s CC 1 Income Tax Act 2007
- Establishment fees assessable as income when derived
- Bad debt deductions under s DB 31 when debt written off as bad
- IFRS 9 expected credit loss provisioning — tax deduction only on write-off (not on provision)
- Resident withholding tax (RWT) obligations on interest paid to NZ residents
- Must be registered as a financial service provider (FSPR) and licensed under CCCFA
- Transfer pricing compliance for cross-border related-party transactions
- GST: exempt supply — lending and interest are exempt financial services

6. Wholesale Funder Tax Treatment

Wholesale funders provide the capital that backs the EPM lending programme. They earn returns through the funding margin (the spread between their cost of funds and the rate charged to the lender). Cross-border tax considerations are particularly relevant for this stakeholder group.

- Interest income from lending to EPM lender is assessable income
- If non-resident: NRWT 15% on interest (or AIL 2% on approved securities)
- Thin capitalisation rules: 60% debt-to-assets ratio
- Transfer pricing: arm's length interest rate required on related-party lending
- Securitisation: special purpose vehicle (SPV) treatment under NZ tax law
- Cross-border: consider BEPS hybrid mismatch rules (Part FH of ITA 2007)
- GST: exempt financial services — no GST on interest
- Approved Issuer Levy (AIL) at 2% is a cost-effective alternative to 15% NRWT for qualifying securities

7. Investment Provider Tax Treatment

The investment provider manages the structured investment portfolio that underpins the EPM. The portfolio targets approximately 70% allocation to S&P 500 ETFs and 30% to fixed income instruments. Returns from this portfolio flow through the payments waterfall to service mortgage interest and protect homeowner equity.

- Portfolio: ~70% S&P; 500 ETFs, ~30% fixed income
- Portfolio Investment Entity (PIE) regime preferred — taxed at investor PIR (max 28%)
- Foreign Investment Fund (FIF) rules apply to offshore investments (>$50k threshold)
- FIF calculation methods: Fair Dividend Rate (FDR) — 5% of opening market value deemed income
- US ETF dividends: 15% US WHT under NZ-US DTA; foreign tax credit available against NZ tax
- NZ-source interest income: taxed at PIR or company rate
- Capital gains: not generally taxable (no CGT), but FIF rules may apply
- Surplus distribution follows trust/PIE rules depending on structure

8. Broker / Referral Partner Tax Treatment

Brokers and referral partners earn commission income for originating EPM mortgages. They must be appropriately licensed and comply with New Zealand regulatory requirements for mortgage advice and intermediation.

- Commission income is assessable income in the year derived
- Trail commissions assessed on receipt or entitlement basis
- GST: financial services are exempt — no GST on mortgage-related commissions
- Must be registered on Financial Service Providers Register (FSPR)
- Full licence required under Financial Markets Conduct Act for financial advice
- CCCFA compliance obligations — responsible lending duties
- Professional indemnity insurance costs deductible
- Clawback: assessable income adjustment in the period of clawback

9. Cross-Border Considerations

The EPM structure may involve cross-border elements, particularly where wholesale funding or investment management is provided by entities outside New Zealand. Key cross-border tax considerations include:

- Withholding tax on interest payments to non-resident wholesale funders: Non-resident withholding tax (NRWT) 15% on interest (10% under some DTAs). Approved Issuer Levy (AIL) 2% alternative to NRWT on interest.
- Double Tax Agreement (DTA) network — treaty relief may reduce or eliminate WHT
- Transfer pricing documentation requirements for related-party cross-border transactions
- Thin capitalisation rules limiting interest deductions: Thin capitalisation: 60% debt-to-assets ratio for inbound investment. Interest deduction denied on excess debt.
- Permanent establishment (PE) risk — structuring to avoid inadvertent PE creation
- BEPS (Base Erosion and Profit Shifting) compliance — CbCR, transfer pricing, anti-hybrid rules
- Controlled Foreign Corporation (CFC) rules — may apply to offshore subsidiaries
- Foreign tax credit / offset mechanisms to prevent double taxation

10. Anti-Avoidance & Compliance

The EPM structure is designed to operate within the ordinary commercial framework of New Zealand tax law. It does not rely on any aggressive tax planning, artificial arrangements, or tax avoidance strategies. The structure is transparent, documented, and commercially motivated.

Nevertheless, all participants should be aware of the anti-avoidance framework:

- General anti-avoidance rule: Section BG 1 general anti-avoidance provision. Specific rules for related-party lending, hybrid instruments, and transfer pricing.
- Transfer pricing: Arm's length principle. Country-by-country reporting aligned with OECD BEPS. New Zealand has a DTA network covering major jurisdictions.
- Substance requirements — all entities must have genuine economic substance in their jurisdiction
- Commercial rationale — all arrangements must have a bona fide commercial purpose beyond tax
- Reporting: Annual income tax return (7 July for individuals, various for companies). GST returns (1, 2, or 6 monthly). Transfer pricing documentation required for international related-party transactions.
- Penalties: significant penalties apply for non-compliance, including promoter penalties for tax schemes

11. Disclaimer

This document has been prepared by Futureproof Financial Group Limited for general information and discussion purposes only. It does not constitute tax advice, legal advice, financial advice, or any other form of professional advice.

Tax treatment depends on the individual circumstances of each stakeholder and may be subject to change in future. Tax law is complex and subject to interpretation by courts and tax authorities. The information in this document reflects the law as understood at the date of publication (March 2025) and may not reflect subsequent changes.

All stakeholders are strongly advised to seek independent professional tax advice specific to their individual circumstances before making any decisions based on the information contained in this document.

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